Higher National Diploma in Accountancy
First Year, Second Semester Examination – 2021
HNDA 1242– Business Law

Instructions for Candidates:
Answer five (05) questions only
All questions carry equal marks

No. of questions : 06
No. of pages : 03
Time: **Three ~~(03)~~ 02 hours**

QUESTION 01

a.

(i) List 02 functions of Law. (2 Marks)
(ii) Differentiate personal law from territorial law (2 Marks)
(iii) Discuss the requirements to apply Thesawalamai Law (3 Marks)
(iv) Explain the legal effect of Williams Vs. Robertson case (3 Marks)

b.

(i) Which court has the jurisdiction to hear fundamental rights cases? Supreme (2 Marks)
(ii) Name the court which has the jurisdiction for family matters (2 Marks)
(iii) Discuss 03 fundamental rights mentioned in the Constitution of 1978 (3 Marks)
(iv) Explain the remedies can take against the infringement of fundamental rights (3 Marks)

(20 Marks)

QUESTION 02

(i) Name 02 essential requirements to create a valid contract (2 Marks)
(ii) Discuss four ways which can terminate the offer (4 Marks)
(iii) Explain the legal background in postal rule with relevant case (4 Marks)
(iv) Briefly discuss whether there is a contract in the scenarios given below

a. Sajith who is 15 years old boy goes to the supermarket and takes a cigarette box which is on display and asks the cashier to sell it to him.
b. Neetha saw an advertisement in the paper offering to give Rs.10,000 to anyone who uses "Hairtamin – Hair Growth Tablets" for four weeks and after use the above tablets if still suffers from severe hair loss. Neetha's hair loss has not been cured by Hairtamin.

(5x2=10 Marks)
(20 Marks)

QUESTION 03

a.

(i) Define the term agency (2 Marks)

(ii) List 04 duties of an agent (4 Marks)

(iii) Explain the background for agency by necessity (4 Marks)

b.

(i) Name 02 negotiable instruments (2 Marks)

(ii) State the types of crossings and its legal effects (4 Marks)

(iii) Discuss the legal background for the holder in due course (4 Marks)

(20 Marks)

QUESTION 04

a.

(i) Discuss about insurable interest (3 Marks)

(ii) Explain the concept of uberrimae fidei. (3 Marks)

(iii) What is the difference between contract of insurance and Assurance? (4 Marks)

b.

E-commerce is the use of electronic medium to carry out commercial transactions.

(i) Name an Act which facilitates e-commerce Electronic transactional (2 Marks)

(ii) What are the benefits of e-commerce? (2 Marks)

(iii) Which Act would be utilized if an individual hack into a computer and uses information on that computer? (2 Marks)

(iv) What are the main objectives of the aforementioned Act? (4 Marks)

- protect the ecommerce illegal users
- supportive ideas are given

(20 Marks)

QUESTION 05

(i)

a. Define the term contract of employment (2 Marks)

b. Name two test that can be used to distinguish between an employee and an independent contractor. mix (2 Marks)

c. Explain the benefits of a permanent employment contracts. (2 Marks)

d. Udari works as a Machine Operator in Traco Apparels (pvt) Ltd and Basu works as an Area Manager in Nilwala Trading Company. Identify the sector and the applicable labour laws of the above employees. (4 Marks)

Indust
co-op.

(ii)

a. Define the term intellectual property (2 Marks)

b. List three mechanisms which introduce to protect Intellectual property rights (4 Marks)

c. Describe the advantages of protecting intellectual properties. (4 Marks)

(20 Marks)

QUESTION 06

(i)

(a) Define what is a sales of goods contract (2 Marks)
(b) Discuss three implied conditions mentioned in Sales of Goods Ordinance. (4 Marks)
(c) Explain the remedies available for the unpaid seller. (4 Marks)

(ii) Describe the powers and functions of the Auditor General (10 Marks)

(20 Marks)